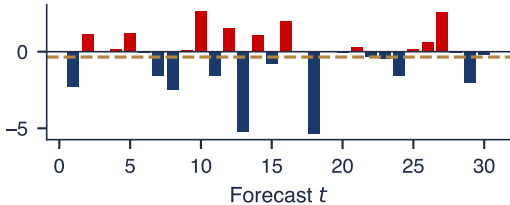
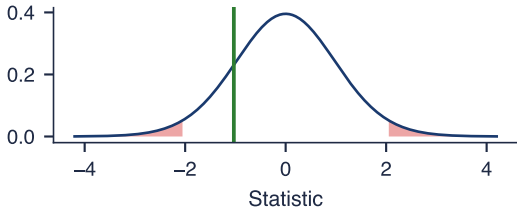


$d_t = e_{1t}^2 - e_{2t}^2$ (blue: forecast 1 better)



Critical values ± 2.045



--- $\bar{d} = -0.35$

— Student $t(29)$ density

Rejection region, 5%

— $\text{HLN} = -1.03$